REFORMS

Though there were no such announcements or proposals while India launched its reforms in 1991, in the coming times, many 'generations' of reforms were announced by the Governments[31]. A total of ***three*** generations of the reforms have been announced till date while experts have gone to suggest the ***fourth*** generation, too. We may substantiate the components of the various generations of reforms to properly understand the very characteristics and the very nature of the reform process in India, as given below:

First Generation Reforms (1991–2000)[32]

It was in the year 2000–01 that the Government, for the first time, announced the need for the Second Generation of economic reforms and it was launched the same year. The ones which had been initiated by then (i.e from 1991 to 2000) were called by the Government as the reforms of the first Generation. The broad co-ordinates of the First Generation of reforms may be seen as under:

(i) Promotion to Private Sector:

This included various important and liberalising policy decisions i.e. 'de-reservation' and 'de-licencing' of the industries, abolition of the MRTP limit, abolition of the compulsion of the phased-production and conversion of loans into shares, simplifying environmental laws for the establishment of the industries, etc.

(ii) Public Sector Reforms:

The steps taken to make the public sector undertakings profitable, efficient, their disinvestment (*token*), their corporatisation, etc. were the major parts of it.

(iii) External Sector Reforms: